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IDEA

October 29, 2026 05:08 PM GMT

US Rates Strategy | North America

Option Menu | Trade Ideas for Your Rates View

Investors often have a directional view on rates, but face a trade-off between accepting unwanted risks or paying for option outcomes they do not expect. We scan the USD rates vol surface to identify our preferred expressions for higher rates, lower rates, steeper curves, and flatter curves.

Key Takeaways

- To balance unwanted risk and option cost, we identify preferred option expressions based on prevailing market drivers and volatility pricing.
- Higher rates: buy 2y10y ATMF payer, sell 3m10y ATMF+50 payer to position for a contained selloff. Buy USG7 put option to position for more aggressive selloff.
- Lower rates: buy 1y10y ATMF-50 receiver, sell 1y10y ATMF+58 payer to replicate a long duration position while receiving skew benefit.
- Steeper curve: buy 6m expiry 2s30s curve cap spread struck at ATMF/ATMF+25.
- Flatter curve: buy 6m expiry 5s30s curve floor spread struck at ATMF/ATMF-25.

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Interest Rate Derivative Strategy

United States | Trade ideas for your rates view

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Investors often have a clear directional view on rates, but face a trade-off between expressing that view with linear instruments, which introduces risks they do not intend, and buying vanilla options, which provide protection against scenarios they do not expect to realize. We scan the USD rates option surface with an investment horizon under one year to find the best value options for expressing four broad views: higher rates, lower rates, steeper curves, and flatter curves. These trades are not meant to fit every investor, but they offer a practical starting point for expressing directional views on USD rates.

Higher Rates

As rates retreat from recent highs, we distinguish between two selloff scenarios: (1) a contained selloff that takes rates back toward recent highs, and (2) a larger selloff that pushes rates beyond those levels. We favor a 2y10y/3m10y payer diagonal for the former and a US futures put for the latter. The two structures offer complementary exposures, with the diagonal benefiting from a moderate rise in rates and the US put providing additional convexity in a more pronounced selloff.

Contained selloff: Buy 2y10y/3m10y payer diagonal

We recommend buying a 2y10y ATMF payer and selling a 3m10y ATMF+50 payer. The structure monetizes rich front-end volatility to finance longer-dated payer exposure, offering positive carry and an attractive payoff if rates revisit recent highs without moving materially beyond them.

- **Rich short-dated implied vol.** Short-dated 10y implied vol remains elevated relative to realized. Historically, similar valuations have preceded realized vol undershooting implied over the following month.
- **Attractive relative vol.** The sold 3m10y F+50 payer vol is around 10bp/year above the bought 2y10y ATMF payer vol, near the widest gap in recent years. The short payer collects a premium equivalent to around 9% of the outright 2y10y payer premium, helping finance the diagonal (Exhibit 1).

Trade idea: Buy 2y10y ATMF payer, sell 3m10y ATMF+50 payer at 361c. The 3m static

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carry is +11c assuming the curve and vol surface roll down to today's spot levels. At the 3m horizon, the diagonal outperforms the outright 2y10y payer for rate increases of up to approximately 56bp. The main risk is a rates rally accompanied by a decline in forward vol, particularly in a growth scare.

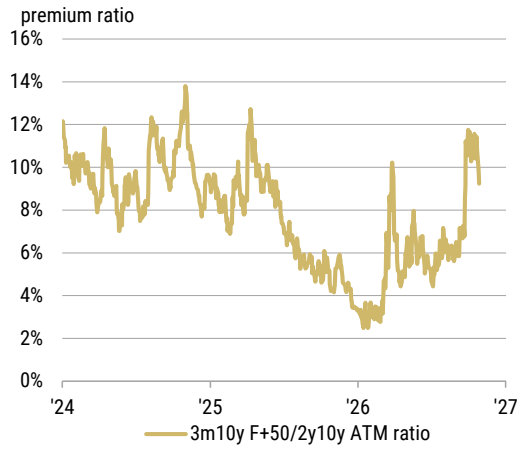
Larger selloff: Buy US futures put

For investors concerned about rates moving materially beyond recent highs, we reaffirm our preference for US futures puts. With our previously recommended USZ6 puts approaching expiry, we roll the position into a longer-dated contract.

- **Greater convexity in a larger selloff.** A selloff can trigger a switch to a longer-duration CTD bond, extending the duration of the US futures contract and providing additional convexity relative to a vanilla payer swaption. In a larger selloff, this additional convexity could outweigh the impact of swap spread moves, enhancing the put's relative performance.
- **Historical performance supports the convexity benefit.** We reaffirm our preference for US futures puts, supported by our analysis of the previous USZ6 106 put. Embedded convexity provides an advantage over vanilla Treasury options, although swap spread widening remains a key risk that could offset some of this benefit. (Exhibit 2).

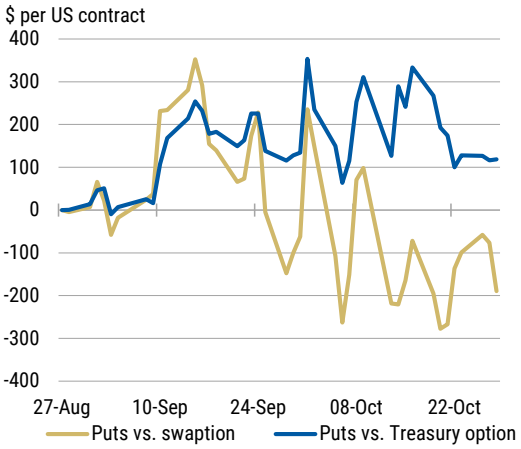
Trade idea: Buy USG7 103 put. Downside is limited to the premium paid. The main risk is that long-end yields fail to rise sufficiently, particularly if a growth scare triggers a long-end rally.

Exhibit 1: 3m10y F+50 payer premium as percentage of 2y10y ATM payer



Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Realized performance of USZ6 put relative to benchmark vanilla options



Source: Bloomberg, Morgan Stanley Research

Lower Rates

For investors expecting lower rates, we recommend buying a 1y10y ATMF-50 receiver funded by selling a 1y10y ATMF+58 payer. The structure takes advantage of rich payer skew to establish long duration exposure at zero upfront cost, allowing investors to finance the receiver by selling a payer struck further out of the money.

- **Rich payer skew across expiries**. On the 10y tail, payer vol exceeds receiver vol at

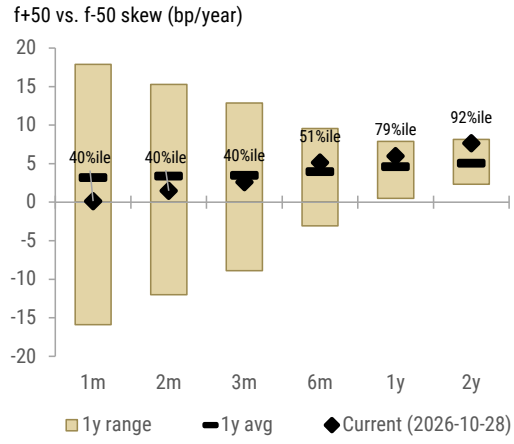
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every expiry. While short-dated skew has compressed sharply following the receiver richening of recent weeks, the gap remains wide from 1y onward (Exhibit 3).

- **Attractive skew improves the strike.** The 1y10y payer wing remains near the top of its historical range relative to the receiver wing, allowing the short payer to be struck further out of the money while fully funding the receiver (Exhibit 4). The appeal is premium-free receiver exposure in exchange for selling upside rates protection, rather than a play on skew mean reversion, as elevated skew has not historically translated into stronger returns on top of delta exposure.

Trade idea: Buy 1y10y F-50 receiver, sell 1y10y F+58 payer at zero upfront premium, on equal notionals. Losses are unlimited if rates rise beyond the short payer strike at expiry. The main risk is a renewed selloff that pushes the 10y forward materially higher.

Exhibit 3: Payer skew more elevated on long dated expiries



Source: Bloomberg, Morgan Stanley Research

Exhibit 4: 1y10y F+50 vs. F-50 skew still trades at elevated level



Source: Bloomberg, Morgan Stanley Research

Steeper Curve

For investors expecting a steeper curve, we recommend buying a 6m 2s30s ATMF/ATMF +25 curve cap spread. Despite elevated curve implied vol, the spread is relatively insulated from vol richness, and our historical backtest suggests it is priced close to fair value.

- **Positive carry with limited exposure to rich vol.** The 6m CMS forward 2s30s carry is positive and near the top of its recent historical range, offering an attractive entry point for a steepener. While implied curve vol remains rich to realized, the cap spread's opposing vegas largely neutralize the impact of rich vol, with the premium only 0.7bp higher than if priced at realized vol. Given recent curve moves and the potential for curves to gap, we prefer a structure with limited downside.
- **Backtest supports attractive relative value.** We backtested buying a 6m 2s30s ATMF/ATMF+25 cap spread with a static curve delta hedge established at inception, using daily entries from January 2022 to April 2026. The strategy lost only 1.0bp per trade on average, the smallest loss among curve cap spreads tested and broadly consistent with the implied vol premium (Exhibit 5). This suggested

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that 2s30s cap spreads have historically been the least expensive way to own curve convexity among the pairs tested.

- **Implied correlation above realized.** The implied 2s30s correlation is off the highs, but remains above realized correlation over the past year, providing additional support for owning curve optionality (Exhibit 6).

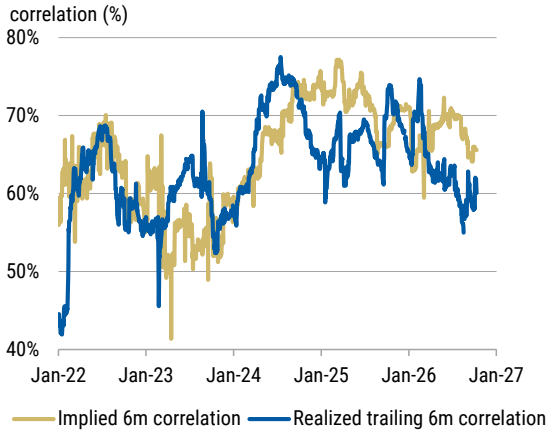
Trade idea: Buy 6m 2s30s curve cap spread struck at ATMF/ATMF+25 for 10bp upfront. The spread offers a maximum payoff of 25bp, or 2.5x premium. Downside is limited to the premium paid. The main risk is continued curve flattening, particularly if weaker growth drives a long-end rally while front-end rates remain anchored.

Exhibit 5: Backtested P&L (positive=loss) of buying 25bp wide curve cap spread with inception delta hedge

	2s5s	2s10s	2s30s	5s10s	5s30s	10s30s
1m	1.66	1.67	1.15	1.04	1.07	0.82
3m	2.79	2.49	1.36	1.91	0.88	0.99
6m	3.23	2.28	0.98	2.76	1.90	2.03
1y	4.45	2.91	1.85	2.78	1.97	1.67

Source: Bloomberg, Morgan Stanley Research. Past performance is no guarantee of future results. Any returns mentioned do not take into account transaction fees and other costs.

Exhibit 6: History of implied and realized 2s30s correlation over 6-month period



Source: Bloomberg, Morgan Stanley Research

Flatter Curve

For investors expecting a flatter curve, we recommend buying a 6m 5s30s ATMF/ATMF-25 curve floor spread. The structure has the strongest historical pricing record among the floor spreads tested.

- **Favorable carry.** The 6m CMS forward 5s30s carry is modestly positive for a flattener, unlike most other curve pairs, offering a more attractive entry point.
- **Best historical pricing record.** We backtested buying 6m ATMF/ATMF-25 floor spreads with a static curve delta hedge established at inception, using daily entries from January 2022 to April 2026. The 5s30s spread earned 0.6bp per trade on average, the strongest result across curve pairs, with positive performance also on non-overlapping trades (Exhibit 7).
- **Implied correlation looks fair.** Implied 5s30s correlation is trading in line with the realized correlation over the past 6 months (Exhibit 8).

Trade idea: Buy 6m 5s30s curve floor spread struck at ATMF/ATMF-25 for 11.5bp upfront. The spread offers a maximum payoff of 25bp, or 2.2x premium. Downside is limited to the premium paid. The main risk is persistent steepening, particularly if long-end term premium continues to rebuild.

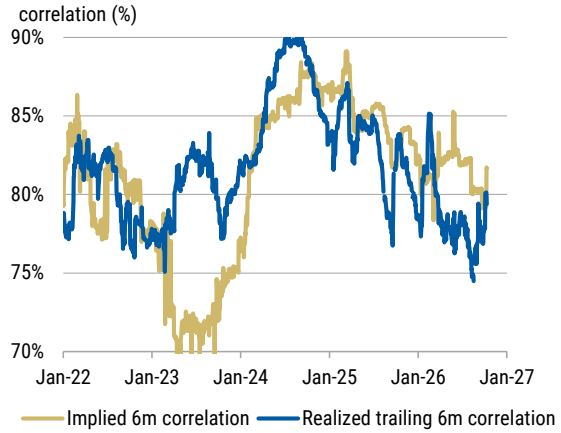
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Exhibit 7: Backtested P&L (positive=loss) of buying 25bp wide curve floor spread with inception delta hedge

	2s5s	2s10s	2s30s	5s10s	5s30s	10s30s
1m	1.07	0.62	0.69	1.00	1.44	0.89
3m	0.57	-0.14	-0.16	1.24	0.20	1.18
6m	-0.22	-0.56	-0.20	0.89	-0.57	1.51
1y	-1.32	-1.61	-1.22	0.78	0.22	2.54

Source: Bloomberg, Morgan Stanley Research. Past performance is no guarantee of future results. Any returns mentioned do not take into account transaction fees and other costs.

Exhibit 8: History of implied and realized 5s30s correlation over 6-month period



Source: Bloomberg, Morgan Stanley Research

Other previous trade ideas

Exit buy WNZ6 vs. sell USZ6.

Long 1m 2s10s ATM curve cap has expired.

Long 2.34x 1m2y F+2 payer, short 1x 1m5y ATM payer package has expired.

- **Trade idea: Exit buy USZ6 106 put**
- **Trade idea: Exit buy WNZ6 vs. sell USZ6**
- **Trade idea: Exit buy 1m 2s10s ATM curve cap**
- **Trade idea: Exit buy 2.34x 1m2y F+2 payer, sell 1x 1m5y ATM payer**
- **Trade ideas:**
  - **Higher rates: Enter buy 2y10y ATMF payer, sell 3m10y ATMF+50 payer with equal notional**
  - **Higher rates: Enter buy USG7 103 put**
  - **Lower rates: Enter buy 1y10y ATMF-50 receiver, sell 1y10y ATMF+58 payer**
  - **Steepener: Enter buy 6m 2s30s ATMF/ATMF+25 curve cap spread**
  - **Flattener: Enter buy 6m 5s30s ATMF/ATMF-25 curve floor spread**

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Valuation Methodology and Risks

Below you will find a list of our current trade ideas, entry levels, entry dates, rationales, and risks.

Interest Rate Derivatives				
TRADE	**ENTRY LEVEL**	**ENTRY DATE**	**RATIONALE**	**RISKS**
Long USG7 put struck at 103	0.921875 points	10/29/2026	Long USG7 put takes advantage of the convex payoff profile of USH7 in a selloff. Market is underpricing this convex payoff.	The main risk is if rates do not selloff enough by the expiry of this option in Jan 2027.
Buy 1x 2y10y ATMF payer, sell 1x 3m10y ATMF+50 payer	361c	10/29/2026	The trade takes advantage of the vol surface shape and gets exposure to higher rates and outperforms vanilla payers in a contained selloff.	The main risk is a rates rally accompanied by a decline in forward vol, particularly in a growth scare.
Buy 1x 1y10y F-50 receiver, sell 1x 1y10y F+58 payer	0c	10/29/2026	The structure takes advantage of rich payer skew to establish long duration exposure at zero upfront cost, allowing investors to finance the receiver by selling a payer struck further out of the money.	The main risk is a renewed selloff that pushes the 10y forward materially higher.
Buy 6m 2s30s curve cap spread struck at ATMF/ATMF +25	10c	10/29/2026	The structure offers 2.5x max payout and is relatively insulated from the recent vol richening.	The main risk is continued curve flattening, particularly if weaker growth drives a long-end rally while front-end rates remain anchored.
Buy 6m 5s30s curve floor spread struck at ATMF/ATMF-25	11.5c	10/29/2026	The structure offers limited downside and 2.2x max payout. The structure also stands out from the screen.	The main risk is persistent steepening, particularly if long-end term premium continues to rebuild.
Buy 2y10y straddle	670c	6/10/2026	2y10y expected to be supported by structural flow from mortgage hedgers demand and reduced supply from callable issuance.	The risk is if vol drops significantly while rates remain anchored near strike level.

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Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

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